

Sawiris's forecasts were wrong. But as I explained in 2018,²⁶⁹ his portfolio was a concentrated and risky bet. That's not the best way to manage personal wealth, even when it's measured in billions.

Not that it matters, but since then, Sawiris has dropped from number 338 on the billionaires index to number 405. He'll be just fine, but the investing errors he made are instructive for the rest of us.



Let's consider another classic investing error: Hyper-concentrated holdings.

²⁶³ Tamim Elyan and Manus Cranny, "This Billionaire Says He's Put Half His Net Worth Into Gold," Bloomberg (May 1, 2018).

²⁶⁴ The Bloomberg Billionaires Index is a daily ranking of the world's richest people: www.bloomberg.com/billionaires

²⁶⁵ I beat gold to death in "12 Rules of Goldbuggery," The Big Picture, April 16, 2013.

²⁶⁶

Henry Sanderson, "Egyptian billionaire Naguib Sawiris to launch new gold investment vehicle," *Financial Times* (November 27, 2017).

²⁶⁷ Barry Ritholtz, "Gold Miners Index Down 30% Since 1993 Inception," The Big Picture (November 12, 2015).

²⁶⁸ Barry Ritholtz, "Gold Miners Are No Longer a Proxy for the Metal," The Big Picture (July 23, 2015).

²⁶⁹ Barry Ritholtz, "A Billionaire Makes a Classic Investing Error: Concentrating in a single asset class can be an invitation to trouble," Bloomberg (May 3, 2018).